Chapter: Globalisation and the Indian Economy

1. Introduction to Globalisation

- **Globalisation** means the process of rapid integration or interconnection between countries through **foreign trade**, **foreign investment**, **technology**, and **movement of people and information**.
- It leads to the exchange of **goods, services, investments, ideas, and people** across national boundaries.
- Today, most regions of the world are more connected than ever before in terms of **culture, politics, society, and economy**.

2. Production Across Countries

- Until the mid-20th century, production was mostly organised within countries. Only **raw materials, foodstuffs, and finished goods** crossed borders.
- Now, **Multinational Corporations (MNCs)** play a key role in production across countries.

What is an MNC?

- A **Multinational Corporation** is a company that owns or controls production in more than one country.
- MNCs set up offices/factories in countries where:
  - Labour is cheap.
  - Raw materials are easily available.
  - Infrastructure and government policies favour them.
  - Large markets exist.

Table: Differences Between Local Companies and MNCs

Feature	Local Company	MNC
Location of Production	Within one country	More than one country
Scale of Operation	Small to medium	Very large
Investment	Limited	Very high
Technology	Often traditional	Latest technology
Market Reach	Domestic	Global

3. Ways MNCs Spread Production

- **Setting up joint ventures** with local companies – providing money and technology.
- **Buying local companies** to expand production (e.g., Cargill Foods buying Parakh Foods).
- **Contracting local producers** – placing orders for goods (e.g., garments, footwear).
- **Competing with or collaborating** with local producers.

Result: **Interlinking of production** across countries.

4. Foreign Trade and Integration of Markets

- **Foreign Trade**: Exchange of goods and services between countries.
- It connects producers and consumers beyond domestic borders and expands choice.
- Leads to **integration of markets**: Prices become similar, competition increases, and producers compete globally.

Comparison: Foreign Trade vs Foreign Investment

Basis	Foreign Trade	Foreign Investment
Meaning	Exchange of goods/services between countries	Purchase of assets by MNCs in other countries
Focus	Buying and selling	Ownership and control
Example	India exports steel to China	Ford Motors investing ₹1700 crore in India

5. What is Globalisation?

- Globalisation is the process of increasing interaction and integration among countries through:
  - Movement of goods and services
  - Flow of investments and technology
  - Migration of people
- **MNCs** are the driving force behind globalisation.

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6. Factors Enabling Globalisation

1. **Technological Advancement**
   - Faster transport and cheaper communication.
   - Container transport, air freight, and satellite communication make global trade easier.
   - Internet and IT enable instant communication and e-commerce.
2. **Liberalisation of Trade and Investment Policies**
   - Before 1991, India had high trade barriers to protect domestic industries.
   - Post-1991 reforms reduced these barriers, allowing free flow of goods, services, and investments.
   - **Liberalisation**: Removing restrictions on trade and investment.

Pre-1991 vs Post-1991 Trade Policies

Feature	Pre-1991	Post-1991
Trade Barriers	High	Reduced
Imports	Restricted	Freer
Foreign Investment	Limited	Encouraged
Domestic Protection	Strong	Reduced

3. **Role of WTO (World Trade Organisation)**
   - Established to promote free and fair trade globally.
   - Sets trade rules and resolves disputes.
   - Criticism: Developed countries often keep barriers, while developing countries must remove theirs.

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7. Impact of Globalisation on India

Positive Effects

- **Consumers**: More choices, better quality, lower prices, and improved standard of living.
- **Producers**: Access to global markets, foreign investments, and improved technology.
- **Workers**: New job opportunities in IT, automobiles, banking, etc.
- **Indian Companies**: Increased competitiveness; some became MNCs (e.g., Tata Motors, Infosys).

Negative Effects

- **Small producers**: Unable to compete with MNCs → closures and unemployment.
- **Labour exploitation**: Contractual jobs and demand for flexible labour laws.
- **Unequal benefits**: Urban rich benefit more than rural poor.

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8. Government's Role in Attracting Foreign Investment

- Establishment of **Special Economic Zones (SEZs)** with world-class facilities and tax incentives.
- **Labour law relaxation** for reducing labour costs.
- Improving infrastructure like roads, power, water, and communication.

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9. Challenges Faced by Small Producers

- High competition from cheaper imported goods.
- Closure of small units → unemployment.
- Need for:
  - Better infrastructure
  - Modern technology
  - Access to affordable credit

✍️ Summary

- Globalisation integrates economies through trade, investment, technology, and people.
- MNCs drive this process by spreading production worldwide.
- Liberalisation and technology advancements have accelerated globalisation.
- While it has brought growth, better quality products, and opportunities, it has also increased inequality and competition, hurting small producers.

📚 PART 2 – CBSE STYLE QUESTION BANK

🧠 A. 1 Mark Questions

1. Define globalisation.
2. What is an MNC?
3. What is foreign investment?
4. What is liberalisation?
5. What does WTO stand for?

✍️ B. 2 Mark Questions

1. Mention two ways in which MNCs set up production in other countries.
2. Explain the term foreign trade.
3. What role does technology play in the process of globalisation?
4. State any two positive impacts of globalisation on consumers.
5. Give two examples of Indian companies that have become MNCs.

📖 C. 3 Mark Questions

1. Explain any three factors that have enabled globalisation.
2. How has globalisation affected small producers and workers in India?
3. Explain the impact of globalisation on Indian consumers.
4. Distinguish between foreign trade and foreign investment with examples.
5. "Globalisation has led to interlinking of markets." Explain with examples.

🧪 D. 5 Mark Questions

1. Explain the role of MNCs in globalisation with examples.
2. Describe the steps taken by the Indian government to attract foreign investment.
3. "Globalisation has both positive and negative impacts on India." Discuss.
4. Explain how liberalisation of trade and investment policies has encouraged globalisation in India.
5. Suggest measures to make globalisation more fair.

💡 HOTS (High Order Thinking Skills)

1. "The impact of globalisation has not been uniform." Discuss with examples.
2. How does foreign trade lead to integration of markets?
3. Why do developed countries continue to support their farmers despite WTO rules?

📊 Case-Based Question (CBSE 2024 Style)

Read the following and answer:

Chinese toy manufacturers export toys to India at cheaper prices and with new designs. Within a year, 70-80% of Indian toy shops replace Indian toys with Chinese toys. Toys become cheaper for Indian buyers.

Q1. What is the impact of foreign trade on Indian toy makers?

Q2. How has foreign trade benefited Indian consumers?

Q3. How has competition changed due to foreign trade?

🧠 A. 1 Mark Questions – Answers

1. **Define globalisation.**
   ➤ Globalisation is the process of rapid integration or interconnection between countries through foreign trade, foreign investment, technology, and the movement of people and information.
2. **What is an MNC?**
   ➤ A Multinational Corporation (MNC) is a company that owns or controls production in more than one country.
3. **What is foreign investment?**
   ➤ Foreign investment is the money spent by MNCs or foreign companies to buy assets like land, factories, or machinery in another country to earn profits.
4. **What is liberalisation?**
   ➤ Liberalisation means removing government restrictions and barriers on foreign trade and investment to allow free flow of goods, services, and capital between countries.
5. **What does WTO stand for?**
   ➤ WTO stands for **World Trade Organisation**.

✍️ B. 2 Mark Questions – Answers

1. **Two ways MNCs set up production in other countries:**
   - By **setting up joint ventures** with local companies and providing capital and technology.
   - By **buying local companies** or placing **orders with small producers** for goods and services.
2. **Explain foreign trade.**
   ➤ Foreign trade is the exchange of goods and services between different countries. It connects producers and consumers beyond domestic markets and helps integrate markets globally.
3. **Role of technology in globalisation:**
   - Modern technology has made transportation faster and cheaper.
   - Communication advancements (like the internet and mobile phones) allow instant contact and sharing of information globally.
   - Technology has enabled global production and trade at a large scale.
4. **Two positive impacts of globalisation on consumers:**
   - Wider choice of goods and services from around the world.
   - Better quality and lower prices due to increased competition.
5. **Two Indian companies that became MNCs:**
   - Tata Motors (automobiles)
   - Infosys (information technology)

📖 C. 3 Mark Questions – Answers

1. **Three factors enabling globalisation:**
   - **Technology:** Faster transport, communication, and internet connectivity.
   - **Liberalisation:** Removal of trade barriers and restrictions on foreign investment.
   - **Role of international organisations:** WTO promotes free trade and reduces restrictions.
2. **Impact of globalisation on small producers and workers:**
   - Many small industries face closure due to tough competition from cheaper imported goods.
   - Workers may lose jobs or face insecure employment conditions.
   - Cost-cutting measures by companies reduce job security and benefits.
3. **Impact of globalisation on consumers:**
   - Consumers have a wide range of goods and services to choose from.
   - Quality of products has improved and prices have reduced.
   - Living standards, especially of urban consumers, have risen.

4. **Foreign trade vs Foreign investment:**

Feature	Foreign Trade	Foreign Investment
Meaning	Exchange of goods and services between countries	Purchase of assets by MNCs in another country
Focus	Buying and selling across borders	Ownership and control of production
Example	India exports steel to China	Ford invests ₹1700 crore to set up a plant in India

5. **How globalisation interlinks markets – with example:**
    - Foreign trade connects producers and buyers across countries.
    - Prices become similar and producers compete globally.
    - Example: Chinese toys entering the Indian market gave consumers more choice and lower prices, while Indian toy producers faced competition.

🧪 D. 5 Mark Questions – Answers

1. **Role of MNCs in globalisation:**
    - Spread production across countries by setting up offices, factories, or joint ventures.
    - Provide capital, advanced technology, and create employment.
    - Source raw materials and components globally to reduce costs.
    - Control production by buying local companies or placing orders with small producers.
    - Influence global trade and investment by operating in multiple countries.

2. **Steps taken by Indian government to attract foreign investment:**
    - Establishment of **Special Economic Zones (SEZs)** with world-class facilities and tax incentives.
    - **Relaxation of labour laws** to reduce production costs.
    - **Liberalisation of trade policies** to make imports and exports easier.
    - **Infrastructure development** such as better roads, ports, power supply, and communication.

3. **Positive and negative impacts of globalisation on India:**

✅ **Positive:**
- Greater choice and improved quality for consumers.
- Increased foreign investment and job creation.
- Indian companies adopted better technology and became globally competitive.
- Some Indian companies emerged as MNCs.

❌ **Negative:**
- Small producers and workers suffered due to intense competition.
- Unequal benefits: urban rich gained more than rural poor.
- Labour rights weakened due to demand for flexible laws.

4. **How liberalisation encouraged globalisation in India:**
    - Reduced or removed restrictions on trade and foreign investment.
    - Made it easier for foreign companies to invest in India.
    - Encouraged competition and improved quality of Indian products.
    - Attracted MNCs and integrated Indian markets with global markets.

5. **Measures to make globalisation more fair:**
    - Developed countries should remove unfair trade barriers.
    - Provide support and subsidies to farmers in developing countries.
    - Ensure labour rights and environmental protection.
    - Expand formal credit and infrastructure for small producers.
    - Promote fair trade practices through international organisations.

💡 HOTS – Answers

1. **"The impact of globalisation has not been uniform" – Explain:**
    - Urban consumers and large companies have benefited from increased choices, better products, and profits.
    - Many small producers have suffered losses and shut down due to intense competition.
    - Rural areas have benefited less than urban regions.
    - Hence, the benefits of globalisation are unevenly distributed.

2. **How foreign trade integrates markets:**
    - Goods from one country become available in another, increasing consumer choice.
    - Producers from different countries compete in the same market.
    - Prices of similar goods become similar across countries.
    - Example: Import of Chinese toys in India integrated the toy market of both countries.

3. **Why developed countries support their farmers despite WTO rules:**
    - Developed countries provide subsidies to reduce production costs and keep their agricultural products cheap.
    - It helps them dominate global markets but makes competition unfair for farmers in developing countries.
    - This contradicts the principle of free and fair trade promoted by the WTO.

📊 **Case-Based Question – Answers**

Case: Chinese toys in India

1. **Impact on Indian toy makers:**
    - They faced heavy competition and many suffered losses or shut down.
2. **Benefit for Indian consumers:**
    - Consumers enjoyed a wider variety of toys at lower prices.
3. **Change in competition:**
    - Competition increased as Chinese and Indian toys competed in the same market. Prices became more competitive and quality improved.